

**AI Infrastructure**
**Applied Digital Corp. (APLD)**
**RATING**  
**BUY**
**PRICE TARGET**  
**\$66.00**  
*from \$51.00*
**PRICE**  
**\$39.52**
**52-WEEK RANGE**  
**\$6.53 - \$47.79**

## Keeping the Ball Rolling; APLD Signs Another Lease & More is on the Come

APLD announced a 300MW lease at Polaris Forge 3 to the same hyperscale customer at Delta Forge 1, and on similar economics & terms (15-year duration, ~\$7.5B in contracted revenue; similar NOI margin). We were pleasantly surprised with how fast the customer signed add'l capacity (less than 30 days), and APLD is currently marketing more sites to this customer.

APLD now has 1.7GW in total with 1.3GW of that coming from additional pipeline capacity that was recently added. We believe APLD is active with all major hyperscalers & Nvidia in lease conversations.

In addition to this more near term capacity currently being marketed, we believe Base Electron could materially add power down the road. We reiterate our Buy rating and raise our PT to \$66, reflecting higher HPC contribution from signed leases, as well as future capacity.

## LEASE TERMS AND DETAILS

- \$7.5B in base-term contracted value over 15-year take-or-pay lease for 300 IT MW (430MW Gross)
  - Avg. \$1.67m/IT MW annually (same as DF1 lease).
  - While we are not modeling in additional Fit-out service contribution at this time, we believe the customer will take Fit-out, which would materially add to our APLD revenue estimates and marginally to our Adj. EBITDA estimates. We note the margin on Fit-out is limited and typically is around 5%.
- Expansion Opportunities:
  - Potential total contract value of \$18.2B if all options are exercised.
  - 1.7GW of total capacity now being marketed. 400MW represents near-term capacity across two sites that were previously disclosed.
- Total APLD contracted capacity is now 1,200 IT MW across Polaris Forge 1 (400 IT MW; CoreWeave), Polaris Forge 2 (200 IT MW; Oracle), Delta Forge 1 (300 IT MW, US IG Hyperscaler), Polaris Forge 3 (300 IT MW; Same US IG Hyperscaler as DF1).
- Polaris Forge 3 consists of 600+ acres.
- Initial operations at Polaris Forge 3 are anticipated to commence in August 2027.

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### KEY DATA

|                        |                   |
|------------------------|-------------------|
| <b>Market Cap (MM)</b> | <b>\$11,293.6</b> |
| Price (05/20/2026)     | \$39.52           |
| 52-Week Range          | \$6.53 - \$47.79  |
| Shares Outstanding     | 285.77            |
| Avg. Daily Volume      | 24,319,102.0      |

### ESTIMATES

| <b>FY (May)</b>      | <b>2026E</b> | <b>2027E</b> | <b>2028E</b> |
|----------------------|--------------|--------------|--------------|
| <b>Rev. (MM)[\$]</b> |              |              |              |
| Q1                   | -            | -            | -            |
| Q2                   | -            | -            | -            |
| Q3                   | -            | -            | -            |
| Q4                   | -            | -            | -            |
| Year                 | 407.7E       | 652.6E       | 1,745.1E     |
| Previous             | —            | —            | 1,557.8E     |
| Growth Rev           | 89.2%        | 60.1%        | 167.4%       |
| <b>FY (May)</b>      | <b>2026E</b> | <b>2027E</b> | <b>2028E</b> |
| <b>EPS</b>           |              |              |              |
| Q1                   | [0.11]A      | [0.29]E      | -            |
| Q2                   | [0.11]A      | [0.08]E      | -            |
| Q3                   | [0.36]A      | 0.00E        | -            |
| Q4                   | [0.13]E      | 0.11E        | -            |
| Year                 | [0.59]E      | [0.24]E      | 2.31E        |
| Previous             | —            | —            | 1.80E        |

## At a Glance

### OUR INVESTMENT THESIS

We view Applied Digital as an attractive way to gain exposure to the structural buildout of large-scale AI data center infrastructure in the U.S. The company has evolved into a multi-campus platform with four leases across three tenants (CoreWeave, ORCL, Addtl. US IG Hyperscaler) and a growing development pipeline of grid-connected power. We believe the combination of long-duration lease contracts, improving cost of capital, and increasing scarcity of grid-connected power positions APLD favorably relative to peers. The legacy BTC hosting business continues to generate strong returns on assets and provides cash flow support as the HPC platform ramps.

### BULL CASE ASSUMPTIONS

The level of demand for AI data center capacity exceeds our expectations and APLD is able to accelerate lease signings across its development pipeline, landing additional IG hyperscalers. Project-level borrowing costs compress, enhancing equity returns. Under this scenario, we believe APLD's shares could be valued at 25x EV/EBITDA on our FY2029 discounted estimate.

### BASE CASE ASSUMPTIONS

APLD executes on its current contracted capacity across Polaris Forge 1 (400MW, CoreWeave), Polaris Forge 2 (200MW, Oracle), Delta Forge 1 (300MW, IG Hyperscaler), and Polaris Forge 3 (300MW, IG Hyperscaler) with construction timelines and lease economics tracking in line with our estimates. Under this scenario, we believe APLD's shares could be valued at 21x EV/EBITDA on our FY2029 discounted estimate.

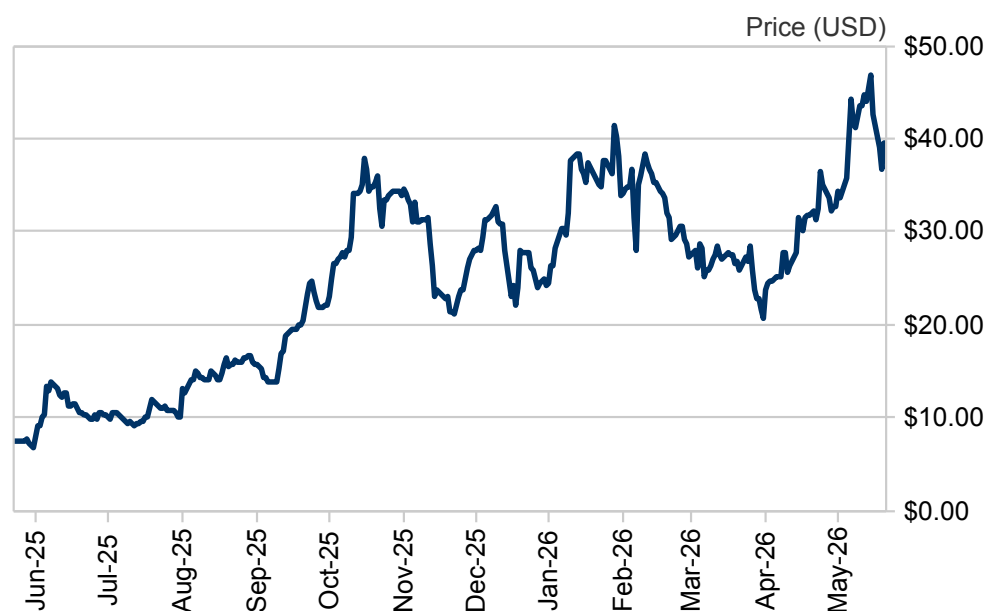
### BEAR CASE ASSUMPTIONS

Construction timelines at existing campuses experience material delays or cost overruns, and lease signings across the development pipeline stall as hyperscaler capex cycles moderate or competitors crowd the playing field. Execution issues at operational sites raise tenant concerns and weigh on APLD's ability to attract new hyperscaler contracts on favorable terms. Under this scenario, we believe APLD's shares could be valued at 15x EV/EBITDA on our FY2029 estimate.

### COMPANY DESCRIPTION

Applied Digital is a U.S.-based designer, developer, and operator of high-performance data centers and colocation services for AI and HPC workloads. The company operates in three segments: HPC Hosting, which designs, builds, and operates large-scale liquid-cooled data centers leased to hyperscalers under long-term contracts; Data Center Hosting, which provides energized infrastructure to bitcoin mining customers across facilities in North Dakota; and Cloud Services, which is being separated to form ChronoScale Corporation (CHRN), a dedicated accelerated-compute platform. Management considers the HPC and Data Center Hosting segments to be its core operations. The company is headquartered in Dallas, Texas.

### PRICE PERFORMANCE



### KEY DATA

|                    |                  |
|--------------------|------------------|
| Market Cap (MM)    | \$11,293.6       |
| Price [05/20/2026] | \$39.52          |
| 52-Week Range      | \$6.53 - \$47.79 |
| Shares Outstanding | 285.77           |
| Avg. Daily Volume  | 24,319,102.0     |

## POLARIS FORGE 3 LEASE

The PF-3 lease represents 300MW of critical IT load (430MW gross) at the company's third North Dakota site. The lease represents \$7.5B in base-term contracted value over a 15-year take-or-pay structure. The lease is gross modified and while NOI was not stipulated, we believe similar economics to the DF-1 lease (82-85% NOI margin).

Top-line rental rate comes in at \$1.67m/IT MW annually avg. over duration of the lease and \$1.35m/IT MW annually in year-one (same as DF1 lease, and assumes 3% annual escalators). Total APLD contracted capacity is now at 1,200 IT MW across Polaris Forge 1 (400 IT MW; CoreWeave), Polaris Forge 2 (200 IT MW; Oracle), Delta Forge 1 (300 IT MW, US IG Hyperscaler), Polaris Forge 3 (300 IT MW; Same US IG Hyperscaler as DF1).

## CUSTOMERS ARE MOVING FASTER THAN BEFORE

It is our understanding that APLD mgmt. has a strong relationship with the head of data centers at the DF-1 & PF-3 customer, which has helped expedite the lease signing process. At DF-1, the lease was signed in 60 days, and at PF-3 significantly faster than that. We believe this customer remains actively looking for more capacity which bodes positively as APLD is marketing 1.7GW (including 400MW of NT capacity) to this customer as well as others. The 1.7GW reflects 1.3GW of new capacity from APLD's previously undisclosed pipeline. The 400MW of NT capacity is outside North Dakota and Louisiana; the remainder of the pipeline location is undisclosed.

## MORE PIPELINE & BASE ELECTRON

The company described another 1.3GW on top of the 400MW that was previously part of 700MW that were discussed earlier this year. 1.3GW represents new capacity from APLD's previously undisclosed pipeline, which was pulled forward given the strong demand from tenants. It is unclear how near term that power is from our conversation with the company, but APLD is actively marketing it for tenants which suggests more near term.

Farther down the line, we believe Base Electron could considerably expand the power opportunity for APLD in North Dakota. There is a pathway to 1-2GW of new generation capacity, which would significantly add to APLD's pipeline (APLD will not take all of Base Electron capacity; the full capacity will expand power to the North Dakota grid).

## NEEDHAM ESTIMATES & VALUATION

We are raising our FY28E and FY29E estimates to reflect the newly signed 300MW lease at Polaris Forge 3. We now model FY28E revenues of ~\$1.75B vs. ~\$1.56B previously, with Adj. EBITDA rising to ~\$997M from ~\$839M, driven by the incremental HPC contribution as the site ramps. In FY29E, we model revenue of ~\$2.37B (from ~\$1.87B) and Adj. EBITDA of ~\$1.51B (from ~\$1.08B), reflecting a full year of Polaris Forge 3 contribution. We reiterate our Buy rating and raise our PT to \$66, reflecting higher HPC contribution from signed leases as well as future capacity.

## APPLIED DIGITAL INCOME STATEMENT

| Applied Digital, Inc. (APLD) Income Statement                        |        |          |          |           |          |          |          |           |          |           |          |          |          |          |           |           |
|----------------------------------------------------------------------|--------|----------|----------|-----------|----------|----------|----------|-----------|----------|-----------|----------|----------|----------|----------|-----------|-----------|
| Fiscal Year End May                                                  | FY     | FY       | FY       | FY        | FY       | Aug-25   | Nov-25   | Feb-26    | May-26   | FY        | Aug-26   | Nov-26   | Feb-27   | May-27   | FY        | FY        |
| (\$ in thousands, except per share data)                             | 2021A  | 2022A    | 2023A    | 2024A     | 2025A    | Q1-26A   | Q2-26A   | Q3-26A    | Q4-26E   | 2026E     | Q1-27E   | Q2-27E   | Q3-27E   | Q4-27E   | 2027E     | 2029E     |
| BTC hosting                                                          |        | 8,549    | 55,392   | 136,573   | 144,192  | 37,921   | 41,600   | 37,542    | 35,000   | 152,063   | 36,500   | 40,000   | 38,500   | 37,000   | 152,000   | 152,000   |
| AI cloud                                                             |        | -        | -        | 29,000    | 71,314   | 0        | 0        | 18,087    | 0        | 18,087    | 0        | 0        | 0        | 0        | -         | -         |
| Total HPC Revenues                                                   |        | -        | -        | -         | -        | 26,296   | 85,000   | 71,008    | 55,250   | 237,554   | 52,250   | 114,750  | 145,938  | 187,688  | 500,625   | 1,593,083 |
| HPC Fit-out Services                                                 |        | -        | -        | -         | -        | 26,296   | 73,000   | 18,900    | 7,000    | 125,196   | 4,000    | 2,000    | 0        | 0        | 6,000     | -         |
| HPC Base Rent                                                        |        | -        | -        | -         | -        | 12,000   | 44,100   | 44,250    | 100,350  | 44,250    | 44,250   | 108,750  | 141,938  | 183,688  | 478,625   | 1,581,083 |
| HPC Power Pass Through Revenues                                      |        | -        | -        | -         | -        | -        | -        | 8,100     | 4,000    | 12,100    | 4,000    | 4,000    | 4,000    | 4,000    | 16,000    | 12,000    |
| Total revenue                                                        | -      | 8,549    | 55,392   | 165,573   | 215,506  | 64,216   | 126,589  | 126,637   | 90,250   | 407,692   | 88,750   | 154,750  | 184,438  | 224,688  | 652,625   | 1,745,083 |
| q/q growth                                                           | -      | -        | -        | -         | -        | 69%      | 97%      | 0%        | -29%     | -         | -2%      | 74%      | 19%      | 22%      | -         | -         |
| Cost of revenues                                                     | -      | 9,506    | 44,388   | 146,970   | 192,809  | 55,606   | 100,553  | 72,832    | 42,210   | 271,201   | 40,485   | 49,576   | 50,534   | 55,254   | 195,849   | 469,100   |
| % of revenue                                                         | -      | 111%     | 80%      | 89%       | 89%      | 87%      | 79%      | 58%       | 47%      | 67%       | 46%      | 32%      | 27%      | 25%      | 30%       | 27%       |
| Gross profit / (loss)                                                | -      | (957)    | 11,004   | 18,603    | 22,697   | 8,610    | 26,036   | 53,805    | 48,040   | 136,491   | 48,265   | 105,174  | 133,904  | 169,434  | 456,776   | 1,367,173 |
| % gm                                                                 | -      | -11%     | 20%      | 11%       | 11%      | 13%      | 21%      | 42%       | 53%      | 33%       | 54%      | 68%      | 73%      | 75%      | 70%       | 80%       |
| SG&A and related expenses                                            | 332    | 7,555    | 18,299   | 99,831    | 94,949   | 29,152   | 56,993   | 79,723    | 70,000   | 235,868   | 75,000   | 77,000   | 78,000   | 79,000   | 309,000   | 370,000   |
| % of revenue                                                         | -      | 88%      | 33%      | 60%       | 44%      | 45%      | 45%      | 63%       | 78%      | 58%       | 85%      | 50%      | 42%      | 35%      | 47%       | 21%       |
| Other operating expenses                                             | -      | -        | -        | 15,497    | -        | 1,751    | -        | 59,749    | -        | -         | -        | -        | -        | -        | -         | -         |
| Operating income                                                     | (333)  | (20,898) | (44,055) | (96,725)  | (48,774) | (22,293) | (30,957) | (85,667)  | (21,960) | (160,877) | (26,735) | 28,174   | 55,904   | 90,434   | 147,776   | 997,173   |
| Interest income (expense)                                            | (236)  | (112)    | (1,980)  | (27,136)  | (13,220) | (3,946)  | (11,484) | 2,387     | (12,000) | (25,043)  | (50,000) | (50,000) | (50,000) | (50,000) | (200,000) | (250,000) |
| Gain/loss on extinguishment of AP                                    | -      | 406      | -        | -         | -        | -        | -        | -         | -        | -         | -        | -        | -        | -        | -         | -         |
| Gain/loss on extinguishment of Debt                                  | -      | (1,342)  | (94)     | (9,908)   | -        | -        | -        | -         | -        | -         | -        | -        | -        | -        | -         | -         |
| Other income (expenses)                                              | -      | -        | -        | (13,812)  | -        | -        | 15,893   | 12,722    | -        | -         | -        | -        | -        | -        | -         | -         |
| Pretax income (loss)                                                 | (569)  | (21,946) | (46,129) | (147,581) | (76,014) | (26,239) | (26,548) | (70,558)  | (33,960) | (157,305) | (76,735) | (21,826) | 5,904    | 40,434   | (52,224)  | 747,173   |
| Tax (expense)                                                        | -      | (540)    | 523      | (96)      | -        | (8)      | (15)     | 2         | -        | -         | -        | -        | -        | -        | -         | -         |
| Preferred dividends                                                  | -      | -        | -        | -         | -        | (1,576)  | (1,571)  | (1,558)   | (3,500)  | (8,205)   | (6,000)  | (6,000)  | (6,000)  | (6,000)  | (24,000)  | (31,875)  |
| Net income (loss) from continuing operations                         | (569)  | (22,486) | (45,606) | (147,677) | (78,101) | (27,823) | (26,563) | (70,556)  | (37,460) | (162,402) | (82,735) | (21,826) | (96)     | 34,434   | (70,224)  | 715,298   |
| Net income (loss) from discontinuing operations, net of income taxes | -      | (1,044)  | -        | -         | -        | 9,321    | 12,113   | (28,747)  | -        | -         | -        | -        | -        | -        | -         | -         |
| Net income (loss) attributable to NCI                                | -      | -        | -        | -         | -        | (18,502) | (19,082) | (100,861) | -        | -         | -        | -        | -        | -        | -         | -         |
| Net income (loss) attributable to APLD                               | -      | -        | -        | -         | -        | -        | -        | -         | -        | -         | -        | -        | -        | -        | -         | -         |
| EPS-diluted (GAAP)                                                   | (0.11) | (0.49)   | (1.23)   | (0.35)    | (0.11)   | (0.11)   | (0.36)   | (0.13)    | (0.59)   | (0.29)    | (0.08)   | (0.00)   | 0.11     | (0.24)   | 2.31      | 3.91      |
| Weighted average number of shares outstanding                        | 64,998 | 93,948   | 114,069  | 224,307   | 255,893  | 277,424  | 281,983  | 283,000   | 274,575  | 285,000   | 290,000  | 295,000  | 300,000  | 292,500  | 310,000   | 313,000   |
| Adjustments:                                                         |        |          |          |           |          |          |          |           |          |           |          |          |          |          |           |           |
| Plus: interest expense                                               | -      | 112      | 1,980    | 27,136    | 28,184   | 3,946    | 11,484   | (2,387)   | 12,000   | 25,043    | 50,000   | 50,000   | 50,000   | 50,000   | 200,000   | 250,000   |
| Plus: depreciation & amortization                                    | -      | 1,122    | 6,389    | 79,184    | 83,599   | 4,153    | 8,586    | 18,524    | 22,000   | 53,263    | 28,000   | 29,000   | 32,000   | 34,000   | 123,000   | 300,000   |
| Plus: income tax expense                                             | -      | 326      | (523)    | 96        | 101      | 8        | 15       | (2)       | 21       | -         | -        | -        | -        | -        | -         | -         |
| Plus: stock-based compensation                                       | -      | -        | 32,074   | 17,231    | 20,964   | 14,446   | 28,051   | 48,946    | 35,000   | 126,443   | 36,000   | 37,000   | 38,000   | 39,000   | 150,000   | 70,000    |
| Gain/loss on extinguishment of AP                                    | -      | (80)     | -        | -         | 9,540    | -        | -        | -         | -        | -         | -        | -        | -        | -        | -         | -         |
| Non-recurring professional services cost                             | -      | 240      | -        | -         | 6,362    | 173      | 13,923   | 6,465     | -        | 20,561    | -        | -        | -        | -        | -         | -         |
| Other non-recurring expenses                                         | -      | 526      | 3,161    | 40,768    | (18,342) | 5,634    | (15,296) | 43,149    | (1,000)  | 32,487    | (1,000)  | (1,000)  | (1,000)  | (1,000)  | (4,000)   | -         |
| Adj. EBITDA                                                          | (569)  | (4,795)  | (1,025)  | 19,093    | 52,351   | 537      | 20,200   | 44,139    | 30,540   | 95,416    | 30,265   | 93,174   | 118,904  | 156,434  | 398,776   | 1,285,298 |
| Adj. EBITDA Margin                                                   | -56%   | -2%      | 12%      | 24%       | 1%       | 16%      | 35%      | 34%       | 23%      | 34%       | 60%      | 64%      | 70%      | 61%      | 74%       | 78%       |

| <b>Applied Digital, Inc. (APLD) Income Statement</b>                       |              |                 |                 |                  |                 |                 |                 |                  |                 |                  |                 |                 |                |                |                 |                  |                  |
|----------------------------------------------------------------------------|--------------|-----------------|-----------------|------------------|-----------------|-----------------|-----------------|------------------|-----------------|------------------|-----------------|-----------------|----------------|----------------|-----------------|------------------|------------------|
| <b>Fiscal Year End May</b>                                                 | <b>FY</b>    | <b>FY</b>       | <b>FY</b>       | <b>FY</b>        | <b>FY</b>       | <b>Aug-25</b>   | <b>Nov-25</b>   | <b>Feb-26</b>    | <b>May-26</b>   | <b>FY</b>        | <b>Aug-26</b>   | <b>Nov-26</b>   | <b>Feb-27</b>  | <b>May-27</b>  | <b>FY</b>       | <b>FY</b>        | <b>FY</b>        |
| <b>(\$ in thousands, except per share data)</b>                            | <b>2021A</b> | <b>2022A</b>    | <b>2023A</b>    | <b>2024A</b>     | <b>2025A</b>    | <b>Q1-26A</b>   | <b>Q2-26A</b>   | <b>Q3-26A</b>    | <b>Q4-26E</b>   | <b>2026E</b>     | <b>Q1-27E</b>   | <b>Q2-27E</b>   | <b>Q3-27E</b>  | <b>Q4-27E</b>  | <b>2027E</b>    | <b>2028E</b>     | <b>2029E</b>     |
| BTC hosting                                                                |              | 8,549           | 55,392          | 136,573          | 144,192         | 37,921          | 41,600          | 37,542           | 35,000          | 152,063          | 36,500          | 40,000          | 38,500         | 37,000         | 152,000         | 152,000          | 152,000          |
| AI cloud                                                                   |              | -               | -               | 29,000           | 71,314          | 0               | 0               | 18,087           | 0               | 18,087           | 0               | 0               | 0              | 0              | -               | -                | -                |
| Total HPC Revenues                                                         |              | -               | -               | -                | -               | 26,296          | 85,000          | 71,008           | 55,250          | 237,554          | 52,250          | 114,750         | 145,938        | 187,688        | 500,625         | 1,593,083        | 2,221,000        |
| HPC Fit-out Services                                                       |              |                 |                 |                  |                 | 26,296          | 73,000          | 18,900           | 7,000           | 125,196          | 4,000           | 2,000           | 0              | 0              | 6,000           | -                | -                |
| HPC Base Rent                                                              |              |                 |                 |                  |                 |                 | 12,000          |                  | 44,250          | 100,350          | 44,250          | 108,750         | 141,938        | 183,688        | 478,625         | 1,581,083        | 2,209,000        |
| HPC Power Pass Through Revenues                                            |              |                 |                 |                  |                 |                 |                 | 8,100            | 4,000           | 12,100           | 4,000           | 4,000           | 4,000          | 4,000          | 16,000          | 12,000           | 12,000           |
| <b>Total revenue</b>                                                       | <b>-</b>     | <b>8,549</b>    | <b>55,392</b>   | <b>165,573</b>   | <b>215,506</b>  | <b>64,216</b>   | <b>126,589</b>  | <b>126,637</b>   | <b>90,250</b>   | <b>407,692</b>   | <b>88,750</b>   | <b>154,750</b>  | <b>184,438</b> | <b>224,688</b> | <b>652,625</b>  | <b>1,745,083</b> | <b>2,373,000</b> |
| q/q growth                                                                 |              |                 |                 |                  |                 | 69%             | 97%             | 0%               | -29%            |                  | -2%             | 74%             | 19%            | 22%            |                 |                  |                  |
| Cost of revenues                                                           | -            | 9,506           | 44,388          | 146,970          | 192,809         | 55,606          | 100,553         | 72,832           | 42,210          | 271,201          | 40,485          | 49,576          | 50,534         | 55,254         | 195,849         | 377,910          | 469,100          |
| % of revenue                                                               |              | 111%            | 80%             | 89%              | 89%             | 87%             | 79%             | 58%              | 47%             | 67%              | 46%             | 32%             | 27%            | 25%            | 30%             | 22%              | 20%              |
| Gross profit / (loss)                                                      | -            | (957)           | 11,004          | 18,603           | 22,697          | 8,610           | 26,036          | 53,805           | 48,040          | 136,491          | 48,265          | 105,174         | 133,904        | 169,434        | 456,776         | 1,367,173        | 1,903,900        |
| % gm                                                                       |              | -11%            | 20%             | 11%              | 11%             | 13%             | 21%             | 42%              | 53%             | 33%              | 54%             | 68%             | 73%            | 75%            | 70%             | 78%              | 80%              |
| SG&A and related expenses                                                  | 332          | 7,555           | 18,299          | 99,831           | 94,949          | 29,152          | 56,993          | 79,723           | 70,000          | 235,868          | 75,000          | 77,000          | 78,000         | 79,000         | 309,000         | 370,000          | 397,000          |
| % of revenue                                                               | -            | 88%             | 33%             | 60%              | 44%             | 45%             | 45%             | 63%              | 78%             | 58%              | 85%             | 50%             | 42%            | 35%            | 47%             | 21%              | 17%              |
| Other operating expenses                                                   |              | -               | -               | 15,497           | -               | 1,751           | -               | 59,749           | -               | -                | -               | -               | -              | -              | -               | -                | -                |
| <b>Operating income</b>                                                    | <b>(333)</b> | <b>(20,898)</b> | <b>(44,055)</b> | <b>(96,725)</b>  | <b>(48,774)</b> | <b>(22,293)</b> | <b>(30,957)</b> | <b>(85,667)</b>  | <b>(21,960)</b> | <b>(160,877)</b> | <b>(26,735)</b> | <b>28,174</b>   | <b>55,904</b>  | <b>90,434</b>  | <b>147,776</b>  | <b>997,173</b>   | <b>1,506,900</b> |
| Interest income (expense)                                                  | (236)        | (112)           | (1,980)         | (27,136)         | (13,220)        | (3,946)         | (11,484)        | 2,387            | (12,000)        | (25,043)         | (50,000)        | (50,000)        | (50,000)       | (50,000)       | (200,000)       | (250,000)        | (250,000)        |
| Gain/loss on extinguishment of AP                                          | -            | 406             | -               | -                | -               | -               | -               | -                | -               | -                | -               | -               | -              | -              | -               | -                | -                |
| Gain/loss on extinguishment of Debt                                        | -            | (1,342)         | (94)            | (9,908)          | -               | -               | -               | -                | -               | -                | -               | -               | -              | -              | -               | -                | -                |
| Other income (expenses)                                                    |              | -               | -               | (13,812)         | -               | -               | 15,893          | 12,722           | -               | -                | -               | -               | -              | -              | -               | -                | -                |
| Pretax income (loss)                                                       | (569)        | (21,946)        | (46,129)        | (147,581)        | (76,014)        | (26,239)        | (26,548)        | (70,558)         | (33,960)        | (157,305)        | (76,735)        | (21,826)        | 5,904          | 40,434         | (52,224)        | 747,173          | 1,256,900        |
| Tax (expense)                                                              | -            | (540)           | 523             | (96)             | -               | (8)             | (15)            | 2                | (3,500)         | (8,205)          | (6,000)         | (6,000)         | (6,000)        | (6,000)        | (24,000)        | (31,875)         | (31,875)         |
| Preferred dividends                                                        |              |                 |                 |                  |                 | (1,576)         | (1,571)         | (1,558)          | (3,500)         | (8,205)          | (6,000)         | (6,000)         | (6,000)        | (6,000)        | (24,000)        | (31,875)         | (31,875)         |
| <b>Net income (loss) from continuing operations</b>                        | <b>(569)</b> | <b>(22,486)</b> | <b>(45,606)</b> | <b>(147,677)</b> | <b>(78,101)</b> | <b>(27,823)</b> | <b>(26,563)</b> | <b>(70,556)</b>  | <b>(37,460)</b> | <b>(162,402)</b> | <b>(82,735)</b> | <b>(21,826)</b> | <b>(96)</b>    | <b>34,434</b>  | <b>(70,224)</b> | <b>715,298</b>   | <b>1,225,025</b> |
| <b>Net income (loss) from discontinued operations, net of income taxes</b> |              | <b>(1,044)</b>  |                 |                  |                 | <b>9,321</b>    | <b>12,113</b>   | <b>(3,061)</b>   | <b>(28,747)</b> |                  |                 |                 |                |                |                 |                  |                  |
| <b>Net income (loss) attributable to NCI</b>                               |              |                 |                 |                  |                 |                 |                 |                  |                 |                  |                 |                 |                |                |                 |                  |                  |
| <b>Net income (loss) attributable to APLD</b>                              |              |                 |                 |                  |                 | <b>(18,502)</b> | <b>(19,082)</b> | <b>(100,861)</b> |                 |                  |                 |                 |                |                |                 |                  |                  |
| <b>EPS-diluted (GAAP)</b>                                                  |              | <b>(0.11)</b>   | <b>(0.49)</b>   | <b>(1.23)</b>    | <b>(0.35)</b>   | <b>(0.11)</b>   | <b>(0.11)</b>   | <b>(0.36)</b>    | <b>(0.13)</b>   | <b>(0.59)</b>    | <b>(0.29)</b>   | <b>(0.08)</b>   | <b>(0.00)</b>  | <b>0.11</b>    | <b>(0.24)</b>   | <b>2.31</b>      | <b>3.91</b>      |
| Weighted average number of shares outstanding                              |              | 64,998          | 93,948          | 114,069          | 224,307         | 255,893         | 277,424         | 281,983          | 283,000         | 274,575          | 285,000         | 290,000         | 295,000        | 300,000        | 292,500         | 310,000          | 313,000          |
| Adjustments:                                                               |              |                 |                 |                  |                 |                 |                 |                  |                 |                  |                 |                 |                |                |                 |                  |                  |
| Plus: interest expense                                                     | -            | 112             | 1,980           | 27,136           | 28,184          | 3,946           | 11,484          | (2,387)          | 12,000          | 25,043           | 50,000          | 50,000          | 50,000         | 50,000         | 200,000         | 250,000          | 250,000          |
| Plus: depreciation & amortization                                          | -            | 1,122           | 6,389           | 79,184           | 83,599          | 4,153           | 8,586           | 18,524           | 22,000          | 53,263           | 28,000          | 29,000          | 32,000         | 34,000         | 123,000         | 250,000          | 300,000          |
| Plus: income tax expense                                                   | -            | 326             | (523)           | 96               | 101             | 8               | 15              | (2)              |                 | 21               |                 |                 |                |                |                 |                  |                  |
| Plus: stock-based compensation                                             | -            | -               | 32,074          | 17,231           | 20,964          | 14,446          | 28,051          | 48,946           | 35,000          | 126,443          | 36,000          | 37,000          | 38,000         | 39,000         | 150,000         | 70,000           | 74,000           |
| Gain/loss on extinguishment of AP                                          | -            | (80)            | -               | -                | 9,540           | -               | -               | -                | -               | -                | -               | -               | -              | -              | -               | -                | -                |
| Non-recurring professional services cost                                   | -            | 240             | -               | -                | 6,362           | 173             | 13,923          | 6,465            |                 | 20,561           |                 |                 |                |                |                 |                  |                  |
| Other non-recurring expenses                                               | -            | 526             | 3,161           | 40,768           | (18,342)        | 5,634           | (15,296)        | 43,149           | (1,000)         | 32,487           | (1,000)         | (1,000)         | (1,000)        | (1,000)        | (4,000)         |                  |                  |
| <b>Adj. EBITDA</b>                                                         | <b>(569)</b> | <b>(4,795)</b>  | <b>(1,025)</b>  | <b>19,093</b>    | <b>52,351</b>   | <b>537</b>      | <b>20,200</b>   | <b>44,139</b>    | <b>30,540</b>   | <b>95,416</b>    | <b>30,265</b>   | <b>93,174</b>   | <b>118,904</b> | <b>156,434</b> | <b>398,776</b>  | <b>1,285,298</b> | <b>1,849,025</b> |
| Adj. EBITDA Margin                                                         |              | -56%            | -2%             | 12%              | 24%             | 1%              | 16%             | 35%              | 34%             | 23%              | 34%             | 60%             | 64%            | 70%            | 61%             | 74%              | 78%              |

**VALUATION (PRICE TARGET: \$66.00)**

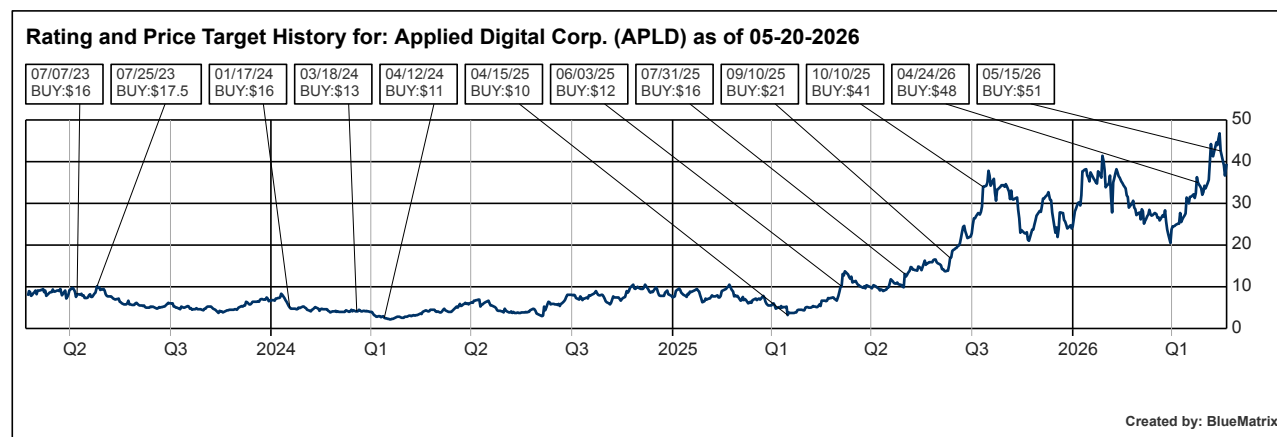
Our PT is based on a 21x EV/EBITDA multiple of our discounted FY29 estimate. We believe the stock is undervalued at current valuation but believe the company should trade at a discount to large-scale data center REITs, which our price target multiple reflects.

**POTENTIAL UPSIDE DRIVERS**

Upside could come from accelerated lease signings across the development pipeline, a faster-than-expected decline in project-level borrowing costs as tenant credit profiles strengthen, and sustained hyperscaler capex trends supporting pricing power at APLD's grid-connected sites. Additional campus expansions or better-than-expected lease economics could also drive upside to our long-term estimates.

**RISKS TO TARGET****APLD**

Risks to our price target include: 1) macroeconomic headwinds, including recession risk and increasing geopolitical uncertainty; 2) supply chain constraints, including delays in transformers, switchgear, and other long-lead electrical infrastructure; 3) customer concentration risk and potential lease delays, modifications, or cancellations across the HPC pipeline; 4) execution risk on APLD's development pipeline, including permitting, utility interconnection timelines, and local regulatory approvals; 5) higher-than-expected cost of capital if project-level debt markets tighten or tenant credit enhancements fail to materialize as anticipated.



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I, John Todaro hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company (ies) and its (their) securities. I, also certify that I, have not been, and will not be receiving direct or indirect compensation in exchange for expressing the specific recommendation(s) in this report.

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|                         | % of companies under coverage<br>with this rating | % for which investment banking services<br>have been provided for in the past 12 months |
|-------------------------|---------------------------------------------------|-----------------------------------------------------------------------------------------|
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| <b>Hold</b>             | 22                                                | 4                                                                                       |
| <b>Underperform</b>     | < 1                                               | 0                                                                                       |
| <b>Rating Suspended</b> | 0                                                 | 0                                                                                       |
| <b>Restricted</b>       | < 1                                               | 0                                                                                       |

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